Motor Vehicle Insurance

Additional Information Guide (AIG)

RACQ

RCMV8.0126

What is this document?

This Additional Information Guide (AIG) is designed to provide you with general information regarding your policy.

This AIG does not form part of your insurance policy with us.

Your insurance policy is made up of your Product Disclosure Statement, your Certificate of Insurance and any Supplementary Product Disclosure Statement. These documents contain your policy terms and conditions including details of what we cover, the policy limits and conditions, as well as any exclusions that could apply.

This AIG provides the following general information:

01 Your policy documents

The documents that make up your policy are:

- Product Disclosure Statement
- Certificate of Insurance
- Supplementary Product Disclosure Statement

Other documents that don't make up your policy but provide important information:

- Additional Information Guide
- Target Market Determination

02 Premium and discounts

How we calculate your premium, the factors that affect your premium and what discounts may be available.

03 Excesses and claims examples

Information about the types of excesses that may apply and some helpful claim settlement examples.

04 Other information

Other information including some additional member benefits and the Financial Claims Scheme.

01 Your policy documents

Documents that make up your policy

Your policy includes your Product Disclosure Statement, your Certificate of Insurance and any Supplementary Product Disclosure Statement. These documents show the conditions that apply to your policy.

Please read all these documents together to understand how your insurance will apply.

1. Product Disclosure Statement (PDS)

The PDS sets out the conditions that apply to your policy including what we do and don't cover, the exclusions that apply under your policy and what we pay when you make a claim.

We give you a PDS with your Certificate of insurance when you take out a new policy with us. You can download a free copy of our PDS from **racq.com.au/insurance/insurance-disclosure-documents**.

2. Certificate of Insurance (COI)

Your COI shows the type of cover that applies to your policy and also shows any specific details that apply to your policy. You should check the details to make sure they are correct.

For example, your policy number, vehicle details, listed drivers, your period of insurance, the premium for your policy and what excesses apply to your policy.

3. Supplementary Product Disclosure Statement (SPDS)

If we need to make a change to the PDS conditions, we may issue an SPDS which sets out the change. If we issue an SPDS, we will give you a copy.

Documents that are not part of your policy

The documents below do not form part of your policy. These documents provide you with general information about the product and may assist you to see if it meets your needs.

Additional Information Guide (AIG)

The AIG contains details about premium calculations, pricing factors, excesses, claim settlement examples, the Financial Claims Scheme and other information that may be relevant to you. You can download a free copy from **racq.com.au/insurance/insurance-disclosure-documents** or contact us.

Target Market Determination (TMD)

The TMD describes who the products have been designed for and the different types of cover for you to determine if they will meet your needs.

02 Premiums and Discounts

Premium

Your premium

Your premium is the amount you pay for the cover we give you under your policy. It includes any government statutory charges, levies, duties, GST or other taxes that may apply.

How we calculate your premium

To calculate your premium, we assess various items of information including details about you, other listed drivers, your vehicle, caravan or trailer and how they are used, which we call premium factors.

We calculate your premium based on:

- the selected level of cover
- your individual circumstances (i.e. type of vehicle, age, location etc)
- any discounts applied
- optional benefits (if selected)
- selected excess
- government charges, taxes or levies applicable.

Your premium may also be affected or changed due to other considerations, some of these include:

- the cost of claims we have paid and expect to pay in the future
- data we have collected on premium factors
- third party data, market adjustments and other commercial factors
- the cost of running our business or
- government statutory charges.

The importance of the premium factors we use and the way in which we combine them to determine your premium varies by type of cover and from person to person and may change. We may alter how much each factor varies your premium and we may add or remove factors over time. The information we use in relation to these premium factors may be collected from you or from other sources.

We don't apply premium discounts to any government statutory charges such as GST and stamp duty or to the portion of your premium which relates to payment frequency. Discounts will not apply to the premium associated with optional benefits or your decision to adjust your excess amount.

If you are entitled to more than one discount, the discounts will be applied consecutively (that is, after the first discount is applied, the next discount will be applied to the already discounted premium). We may apply rounding in calculating premiums.

When you change or renew your policy, we review your premium and may increase or decrease it in line with any relevant changes to your circumstances. We may choose to limit the amount of any premium increase or decrease you experience on renewal.

Premium factors

The following table shows some of the factors that we may consider in determining your premium. Premium factors may be different depending on the type of cover you have selected. This is not an exhaustive list of the factors we consider. We may add or remove premium factors.

Premium factors	Motor Comprehensive Insurance	Fire, Theft and Third Party Insurance	Third Party Property Damage Insurance	Caravan and Trailer Insurance
You and other listed drivers				
Listed drivers The details of listed drivers, for example age and gender for individual listed drivers or whether all the listed drivers are companies.	✓	✓	✓	✗
Your vehicle, caravan or trailer				
Accessories and modifications Accessories or modifications that alter the sum insured of your vehicle, caravan or trailer.	✓	✓	✗	✓
Address and location Where and how your vehicle, caravan or trailer is parked at night.	✓	✓	✓	✓
Vehicle use How you use your vehicle.	✓	✓	✓	✗
The sum insured amount The value of your vehicle, caravan or trailer and whether you have an agreed value or market value on your vehicle.	✓	✓	✗	✓
Finance If you have finance and the type of finance.	✓	✗	✗	✗
Standard specifications The standard specifications of your vehicle, caravan or trailer.	✓	✓	✓	✓
Your policy choices				
Excess amount What basic excess amount you have selected.	✓	✗	✗	✗
Optional benefits What optional benefits you have chosen.	✓	✗	✗	✓*
Premium payment frequency Paying as monthly instalments or as a single annual payment.	✓	✓	✓	✓

*Caravan only

Discounts

What discounts can be applied to your premium

Discounts are also a factor that can affect your premium. We don't apply any discounts to additional premiums arising from your policy choices in relation to:

- your excess amount
- optional benefits
- the portion of your premium which relates to payment frequency.

We also don't apply discounts to any government statutory charges such as GST and stamp duty that are included in the cost of your insurance.

From time to time, we may also offer other discounts or incentives. If we do, separate terms and conditions may apply. We may withdraw or vary any discounts or incentives at any time, including by changing eligibility rules or the amount of the discount. Information about the discounts we offer and who is entitled to the discounts is available at **racq.com/insurance** on the Insurance discounts page or on request.

A discount will only apply to you if you are entitled to the discount based on your circumstances, and the discount continues to be offered by us at the time you take out your policy, or for any renewal of your policy, on the date the renewal is effective. For some discounts, you will only be able to access the discount if you ask us to apply the discounts and we confirm you are entitled to the discount. You may need to give us information for us to assess whether we will apply a discount to you.

The key discounts that are offered are summarised in the following table.

Discounts	Motor Comprehensive Insurance	Fire, Theft and Third Party Insurance	Third Party Property Damage Insurance	Caravan and Trailer Insurance
Roadside Assistance loyalty discount If any policyholder holds RACQ Roadside Assistance (excludes Business Roadside Assistance).	✓	✓	✓	✓
Multi policy discount If any policyholder has 3 or more qualifying policies with RACQ Insurance.	✓	✓	✓	✓
No claim discount Based off the claims and driving history of the primary driver shown on your COI (see following section).	✓^	✗	✗	✓

^ Car and Motorcycle Insurance only.

Visit **racq.com/insurance** for more details about discounts and eligibility.

No claim discount

Your No claim discount (NCD) reduces the premium you pay for your policy. When you first take out insurance with us, we may apply an NCD based on the primary driver's claims and driving history.

The table below shows the rating we give you based on the primary driver's claims and driving history and the NCD that applies to that rating. Your NCD rating is shown on your COI.

Rating	NCD % applied to your premium
Rating 1	60%
Rating 2	50%
Rating 3	40%
Rating 4	30%
Rating 5	20% (maximum for motorcycles)
Rating 6	0%

If you don't make an at fault claim during the period of insurance, we will increase your NCD at your next policy renewal. For example, if you're a Rating 4 with 30% NCD, then you will move to a Rating 3 with 40% NCD.

If you do make an at fault claim, we will reduce your NCD at your next policy renewal. For example, if you're a Rating 1 with 60% NCD and you make an at fault claim, then you will move to a Rating 2 and at your next policy renewal your NCD will reduce to 50%. If you have multiple at fault claims in a single period of insurance, your NCD will reduce by more than 1 rating.

At fault claim

An at fault claim is where your vehicle is involved in an incident and it is determined the person in charge or control of your vehicle at the time of the incident is partially or entirely responsible for the incident.

When we won't reduce your NCD for a claim

We won't reduce your NCD if:

- we agree that someone else was entirely responsible for the incident.
- we agree that the person in charge or control of your vehicle is not in any way responsible for the incident and the loss or damage is caused by any of these incidents:
  - windscreen or window glass breakage
  - weather conditions (e.g. storm, hail or flood)
  - a collision with an animal
  - fire
  - theft or attempted theft or
  - malicious damage.
- you have a Rating 1 for life.

Rating 1 for life

You qualify for a Rating 1 for life if you:

- have a Comprehensive Car Insurance policy, and
- don't make any at fault claims for 12 months while you are a Rating 1 with 60% NCD.

Once you have a Rating 1 for life, we won't reduce your NCD if you make an at fault claim. However, any claim or incident may affect the terms that apply to your policy at your next renewal (including your premium or excess).

03 Excesses and claims examples

An excess is the amount you contribute towards the cost of each claim you make. Your COI will show any excesses that apply to your policy. More than one excess may apply to a single claim.

Excess amounts

The basic excess applies to all claims, whether you, someone else or something else caused the loss or damage.		
Basic excess	Comprehensive car	As shown on your COI
	Motorcycle	$650
	Golf buggy	$0
	Mobility Aid	$0
	Fire, Theft and Third Party	$650
	Third Party Property Damage	$650
	Caravan	$650
	Trailer	$0

The additional excesses are paid on top of the basic excess - more than one of these excesses may apply to your claim.		
Additional excess*	Listed driver age excess	$600
	Unlisted driver age excess	$1,200
	Inexperienced driver excess	$400
	High Performance excess	$400
	Listed driver excess	As shown on your COI

*Not applicable to Golf Buggy, Mobility Aid, Caravan or Trailer Insurance.

Types of excesses

Your COI will show the excesses that apply to your policy. One or more of the below excesses may apply to a single claim.

Basic excess

Your basic excess applies to all claims. The amount that you contribute to the claim is shown on your COI.

Age excesses

The age excess applies if the driver of your vehicle is under 25 years old. This excess is applied depending on the below scenarios.

Listed driver age excess - if the driver is a listed driver on your COI.
Unlisted driver age excess - if the driver is not a listed driver on your COI.

Inexperienced driver excess

An inexperienced driver excess applies if the driver of your vehicle is 25 years old or over and has not held a full or open Australian driver's licence for the preceding 2 consecutive years.

High performance excess

The high performance excess is determined by the type of vehicle and will be shown on your COI as a non-removable excess.

Listed driver excess

A listed driver excess may apply based off claims, traffic and criminal history. If the driver of your vehicle has this additional excess the amount is listed under their name on your COI.

When certain excesses don't apply

The age excesses and inexperienced driver excess do not apply if an incident happens and the driver of your vehicle:

- holds a current learner's licence, and
- is using your vehicle to get supervised on-road driving experience, and
- the supervisor holds a current and appropriate class of licence in line with the law and the relevant road transport authority.

These excesses also do not apply if the driver of your vehicle:

- is using your vehicle to road test it after they service or repair it and they work for a business that offers motor vehicle repairs or services motor vehicles for the public on a full time commercial basis.

Claim settlement examples

We have provided the following examples as a guide to help you get a clearer picture of how a claim settlement could typically be calculated.

These are examples only and won't cover all situations where an incident might occur and might not include all available benefits or outcomes. The examples provided do not form part of your policy terms and conditions - they are a guide only.

When assessing actual claims, RACQ Insurance always assesses each claim on an individual basis.

Make sure you understand what is and isn't covered under your insurance policy by reading your PDS, your COI and any SPDS.

Notes about the following claim examples:

- all amounts are shown in Australian dollars and are inclusive of GST.
- all examples assume that you are not registered for GST.
- any excesses used in the examples may not be the same as your excess. Your COI will show you any excesses which are included in your policy.

Example 1 – Partial loss

Your car is comprehensively insured for an agreed value of $25,000 and the basic excess is $1,350. Your car is stolen from the carpark of the local train station while you are at work and recovered two days later. Unfortunately, there was a moderate amount of damage to the driver's door and rear panels.

We assess the cost of repairs to your car at $6,200 which we agree to cover. The repairs will take around eight days to be completed. The comprehensive car insurance provides an additional benefit for a hire car after theft up to a maximum of 21 days. As it has been estimated your car will be repaired in around eight days, we will also pay the costs, up to the daily limit set out in the PDS, for a hire car during this eight day period.

Cost to repair	$6,200
less basic excess	-$1,350
Hire car (based off hire cost $75 a day x 8 days)	$600
Claim settlement Paid to hire car company Paid to repairer	 $600 $4,850
Total settlement	**$5,450**

Example 2 – Items stolen from caravan

Your caravan is insured under the comprehensive caravan and trailer insurance with the optional benefit 'Increased contents cover' selected with an additional value of $2,000. Your caravan's locked door is forced open and items that were inside have been stolen with a value of $2,200.

We are provided the police report number and assess the claim. Proof of ownership including receipts and photos are provided to us for all the items and we approve the claim based off the information. As the items were stolen and unable to be recovered we provide the settlement by way of paying you the cost to replace those items, and will pay a qualified repairer for the repairs required on your caravan.

Cost to repair (Repair damaged door and lock)	$1,000
Less basic excess	-$650
Cost of stolen contents (included benefit limit of $500 & optional increased contents cover component $1,700)	$2,200
Claim settlement Paid to repairer Paid to you	 $350 $2,200
Total settlement	**$2,550**

Example 3 – Total loss

Your car is seven years old, is comprehensively insured under a market value, the basic excess is $850. The policy is paid by monthly instalments of $56 per month and is halfway through the 12 month term.

Your car is badly damaged by hail and based on the cost to us to repair your car, we decide it is uneconomical to repair and determine your car to be a 'total loss' with an assessed market value of $14,000. As your car is more than two years old, the 'New vehicle replacement' benefit does not apply in this circumstance.

Market value of car	$14,000
Less basic excess	-$850
Less remaining monthly premium (6 months x $56)	-$336
Total claim settlement Paid to you	**$12,814**

For further information about settlements of a total loss, such as salvage values, please refer to your PDS.

Example 4 – Unlisted driver under 25 year old

Your car is comprehensively insured and has an agreed value of $45,000, you allow a friend who is 23 years old to drive your car but you have not listed them as a driver on your policy. While your friend is driving your car they have an accident where they scratch the side door panel of your car.

We assess the damage and the cost of the repairs will be $3,000, the basic excess is $850 but due to the driver of your car being under 25 years old and not a listed driver on the policy, there is also an **unlisted driver age excess** of $1,200 applied for the incident.

Cost to repair	$3,000
Less basic excess	-$850
Less **unlisted driver age excess**	-$1,200
Total claim settlement Paid to the repairer	**$950**

04 Other information

Additional member benefits

As a member of RACQ you gain access to the RACQ Member Benefits program. RACQ Member Benefits is focused on helping members make everyday life easier and more affordable with discounts and offers across fuel, movies, eGift cards, shopping and more. You can find all of your member benefits at **racq.com.au/membership/benefits-and-discounts.**

Financial Claims Scheme

The Financial Claims Scheme protects general insurance policyholders from potential loss if an institution fails. You may be entitled to a payment under the Financial Claims Scheme if you meet their eligibility criteria. If you want more information about the scheme, you can:

call

1300 558 849

visit the Financial Claims Scheme website at

www.apra.gov.au/financial-claims-scheme-0

RACQ Insurance Limited

ABN 50 009 704 152
AFS Licence Number 233082
2649 Logan Road, Eight Mile Plains, QLD 4113

Effective Date: 07/01/2026